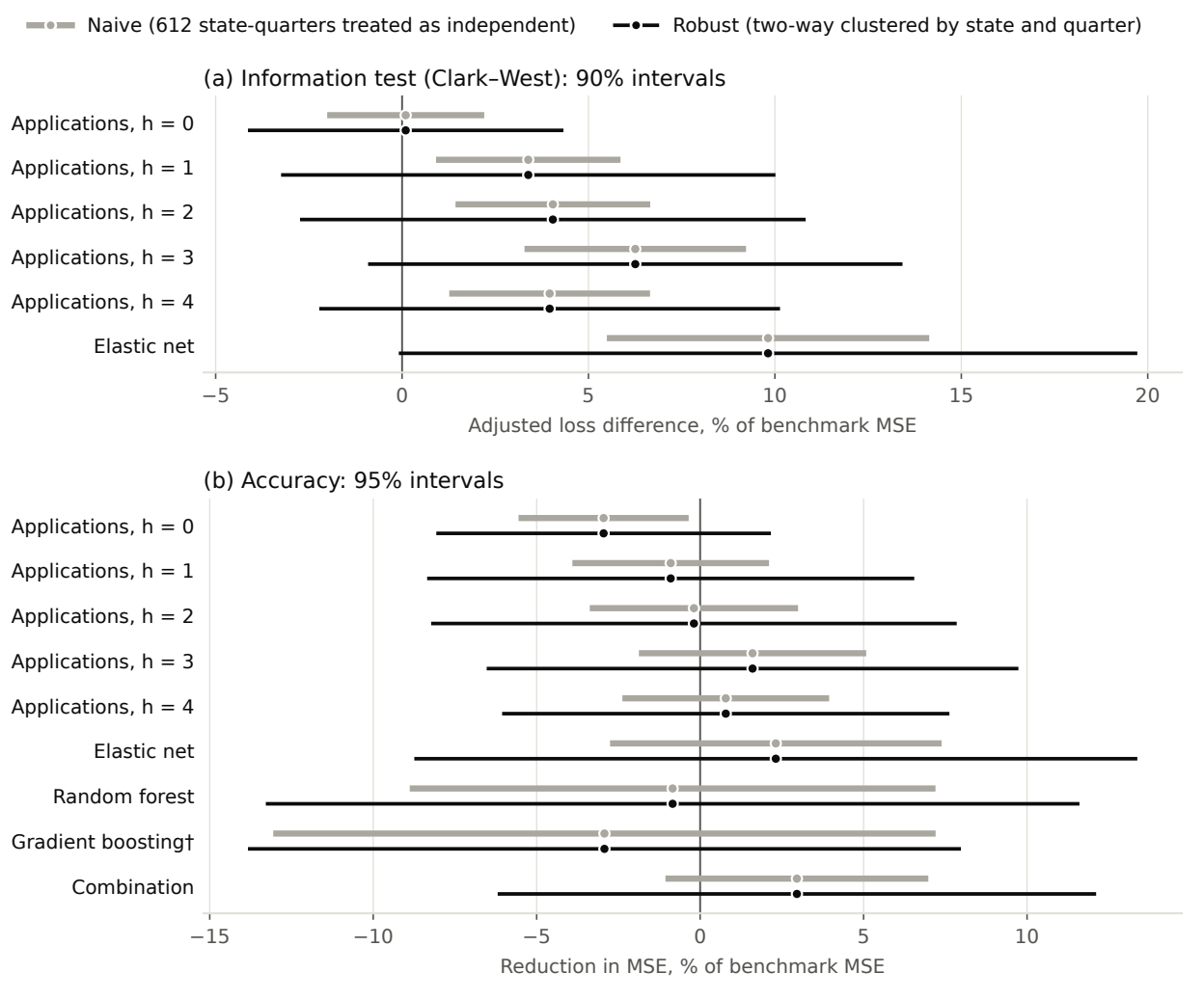
Naive (612 state-quarters treated as independent)
Robust (two-way clustered by state and quarter)
(a) Information test (Clark–West): 90% intervals
Applications, h = 0
Applications, h = 1
Applications, h = 2
Applications, h = 3
Applications, h = 4
Elastic net
−5
0
5
10
15
20
Adjusted loss difference, % of benchmark MSE
(b) Accuracy: 95% intervals
Applications, h = 0
Applications, h = 1
Applications, h = 2
Applications, h = 3
Applications, h = 4
Elastic net
Random forest
Gradient boosting†
Combination
−15
−10
−5
0
5
10
Reduction in MSE, % of benchmark MSE